AAVIN EQUITY PARTNERS II, LP

Financial Package

March 31, 2017

Financials

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AAVIN Equity Partners II, LP
Balance Sheet
As of March 31, 2017

Assets

Loans and Investments: (at cost) (see Page 5)		
Loans	$	4,724,901
Equity		2,384,333
		7,109,234
Current Assets:		
Cash		232,751
Interest Receivable - Portfolio Companies (see Page 6)		42,309
		275,060
Total Assets	$	7,384,294

Liabilities & Partners' Equity

Current Liabilities:		
Due to Associate - AAVIN Equity Advisors, LLC (Note 3)		68,458
		68,458
Total Liabilities		68,458
Partners' Equity (see Page 4)		7,315,837
Total Liabilities & Partners' Equity	$	7,384,294

Unaudited - For Management Purposes Only.

AAVIN Equity Partners II, LP
Statement of Operations
For the first quarter ended March 31, 2017

Investment Income:		
Interest on Debt Securities (see Page 5)	$	143,967
Prepayment Fee Income	$	27,459
Total Income		171,426
Operating Expenses:		
Communications - LPs		
Insurance - D&O		4,319
Interest Expense - Line of Credit		2,364
Management Expense (Net of fees from Portfolio Companies - see Note 3)		85,229
Audit & Tax		10,165
Travel		366
Dues		330
Total Expenses		102,773
Income (Loss) before Net Realized Gain(Loss) on Investments		68,653
Net Realized Gain(Loss) on Investments		-
Net Income (Loss) Realized from Operations	$	68,653

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AAVIN Equity Partners II, LP
Statement of Cash Flows
For the first quarter ended March 31, 2017

Operating Activities:	
Net Income (Loss)	$68,653
Adjustments to reconcile net cash provided by operations:	
Interest Receivable	7,487
Accrued Interest - Line of Credit	(556)
Management Fee Waiver	15,404
Management Fees Payable	(30,175)
Net cash used by Operating Activities	60,813
Investing Activities:	
Debt investments in small businesses	(780,000)
Equity investments in small businesses	(520,000)
Principal payments on debt from small businesses	1,069,440
Net cash used in Investing Activities	(230,560)
Financing Activities:	
Draw on Guaranty Line of Credit	(1,401,650)
SERSODCSD 0001 Partner Contributions	1,525,000
Net cash provided by Financing Activities	123,350
Net cash increase(decrease) for the period	(46,397)
Cash at beginning of period	279,148
Cash at end of period	$232,751

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AAVIN Equity Partners II, LP
Statement of Partners' Equity
As of March 31, 2017

Partner	Subscription Amount	Contributions to Date	Accumulated Net Income(Loss)	Net Partner Equity
Limited Partner:				
School Employees' Retirement System of Douglas County School District 0001	25,000,000	7,778,649	(535,970)	7,242,679
GP :				-
AAVIN II, LLC	252,525	78,572	(5,414)	73,158
Total	**$ 25,252,525**	**$ 7,857,221**	**$ (541,384)**	**$ 7,315,837**

Unaudited - For Management Purposes Only.

AAVIN Equity Partners II, LP
Schedule of Investments Held
As of March 31, 2017

Company	Security	SBA Guideline Value	Cost
Construction			
Weeks Service Company	11,495 commons shares units at $45.24/share	$ 520,000	$ 520,000
	Subordinated Debt with monthly interest due at 14% and principal due at maturity on 3/10/22	780,000	780,000
		1,300,000	1,300,000
Information Services			
Verrex, LLC	2167.78 units at $100/unit	$ 216,778	$ 216,778
	Subordinated Debt with monthly interest due at 14% and principal due at maturity on 7/20/21	361,298	361,298
		578,076	578,076
Manufacturing			
B12 Transportation Group, LLC	332,393 common units @ $.001/share	332	332
	332,393 preferred units @ $1/share	332,393	332,393
	Subordinated Debt with monthly interest due at 11% for the first year, 12% second, 13% third and 14% thereaftter and principal due at maturity on 12/7/20.	332,393	332,393
		665,118	665,118
Montana SilverSmiths LLC	2167.50 common units @ $100/share	216,750	216,750
	Subordinated Debt with monthly interest due at 13% + 4% PIK compounded monthly and principal due at maturity on 10/28/21.	505,750	505,750
		722,500	722,500
Odessa AIM Holdings, Inc.	130 common units @ $17.775/share	2,312	2,312
	228,920 Series A preferred units @ $1/share	228,920	228,920
	Subordinated Debt with monthly interest due at 14% and principal due at maturity on 8/31/21.	1,069,439	1,069,439
		1,300,671	1,300,671
SPI Acquisition Holdings Inc.	560.66 shares at $1000/share	560,660	560,660
	Subordinated Debt with monthly interest due at 12% + 1% PIK compounded monthly and principal due at maturity on 12/28/21.	840,990	840,990
		1,401,650	1,401,650
Transfer Tool Holdings, LLC	290,044 units @ $1/unit	306,188	306,188
	Subordinated Debt with monthly interest due at 14% and principal due at maturity on 8/10/20	459,282	459,282
		765,470	765,470
	Total Manufacturing	4,855,409.39	4,855,409.39
Wholesale Trade			
CPI Luxury Group	Subordinated Debt with monthly interest due at 17.5% and principal due at maturity on 6/30/21.	375,749	375,749
	Total WholesaleTrade	375,749	375,749
	Grand Total	$ 7,109,234	$ 7,109,234

Unaudited - For management purposes only.

AAVIN Equity Partners II, LP
Schedule of Interest Receivable and Interest Income
As of March 31, 2017

Portfolio Company	Rate	Maturity	Note Amount	Cash Interest Received YTD	Receivable 3/31/17	Receivable 12/31/16	Total Interest Income YTD
B12 Transportation Group, LLC	11% - 1yr, 12% - 2yr, 13% - 3yr, 14% - 4yr +	12/7/2020	$ 332,393	$ 10,093			$ 10,093
CPI Luxury Group	17.5%	6/30/2021	375,749	43,155	5,824	(21,778)	27,201
Montana SilverSmiths, LLC	13% + 4% PIK	10/28/2021	505,750	16,552	14,453	(9,285)	21,720
Odessa AIM Holdings, Inc.	14.0%	8/31/2021	1,069,439	37,430	12,893	(12,893)	37,430
SPI Acquisition Holdings, Inc.	12% + 1% PIK	12/28/2021	840,990	26,094	2,174	(911)	27,357
Transfer Tool Holdings, LLC	14%, 19% Nov/Dec	8/10/2020	459,282	848	29,526	(14,299)	16,075
Verrex, LLC	14.0%	7/20/2021	361,298	17,282		(4,637)	12,645
Weeks Service Company	14.0%	3/10/2022	780,000		6,673		6,673
			$ 4,724,901	$ 151,454	$ 71,543	$ (63,803)	$ 159,195

AAVIN Equity Partners II, LP
NOTES TO FINANCIAL STATEMENTS
As of March 31, 2017

1. Nature of business and significant accounting policies

Organization and nature of business

AAVIN Equity Partners II, LP (the "Partnership") is a limited partnership organized under the laws of the State of Delaware to operate as a mezzanine and private equity fund to provide debt and equity capital to small later stage businesses throughout the United States. The Partnership was formed on November 5, 2014 and commenced operations on January 7, 2015 under the Amended and Restated Agreement of Limited Partnership ("Agreement"). The Partnership consists of one Limited Partner, School Employees' Retirement System of Douglas County School District 0001, and a General Partner, AAVIN II, LLC. The Partnership's fiscal year ends December 31. Significant accounting policies followed by the Partnership are presented below.

Under the Agreement, the Partnership shall continue until the first to occur of the following: (1) withdrawal, dissolution or bankruptcy of the General Partner, or (2) the later of January 7, 2025, subject to two additional one year extensions to such date in the sole discretion of the General Partner or (3) at the election of the General Partner and the Limited Partner.

Basis of accounting

The accompanying financial statements have been prepared on a basis of accounting prescribed by the U.S. Small Business Administration which is a basis of accounting other than accounting principles generally accepted in the United States of America ("U.S. GAAP"). Some of the key considerations are as follows:

Investment securities included in the financial statements will be valued by the General Partner using the valuation criteria applicable to the licensee. Valuation criteria was established in accordance with Section 310(d)(2) of the Small Business Investment Act of 1958, as amended. The reported value used for equity securities in the Statement of Financial Position (also known as "SBA Guideline Value"), must be determined in accordance with a licensee's valuation policy and is reported by the SBIC as of a measurement date in accordance SBIC 13 CFR 107.503. Reported value may differ in certain instances from fair value, which is the measurement of value that would comply with U.S. GAAP. In September 2006, the FASB issued ASC 820-10, *Fair Value Measurements*, which defined the value in accordance with U.S. GAAP as the "price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date." The primary differences between the two measurements are that in the case of values determined in accordance with SBA Guideline Value (i) an increase in value above cost may only be reflected in reported value if there is a specific permitted basis under the licensee's valuation policy; (ii) liquidity (or "blockage") discounts, which are prohibited under U.S. GAAP, must be considered for inclusion in reported value; (iii) the reported value of interest-bearing securities is not adjusted for changes in interest rates. It is expected that reported value will not exceed, but may be less than, "fair" value in accordance with GAAP. The differences between reported values and U.S. GAAP reported fair values may be significant.

There may also be other differences between SBA-basis financial statements and U.S. GAAP-basis financial statements including, but not limited to, the treatment of unrealized gains and losses, and presentation of financial highlights.

Investments

As of March 31, 2017, the Partnership had invested in eight companies. Management expects to call capital from the limited partner over four to six years and identify companies for investment. Investment securities of the Partnership will be included in the Statements of Financial Position at SBA Guideline Value, as described previously. Investments for which no active public market exists will be valued at SBA Guideline Value as determined in good faith by the General Partner and approved by the investment committee of the General Partner, based on all relevant factors. The investments will be carried at cost until events subsequent to the date of investment indicate that cost is not the best measure of SBA Guideline Value. If such events have occurred, the value will be determined by taking into consideration all factors as the General Partner may deem relevant. Among the factors considered in determining the reported value of investments will be the cost of the investment; developments subsequent to the acquisition of the investment, including recent financing transactions; the financial condition and operating results of the portfolio investment, market values for similar securities, the long-term potential of the business of the portfolio investment; overall market conditions and other factors generally pertinent to the valuation of investments.

In the valuation process, the General Partner will use financial information received monthly, quarterly, and annually from the portfolio companies which will include both audited and unaudited financial statements. This information will be used to determine financial condition, and valuation of the portfolio investments.

The value of certain investments may also be adjusted to equate to a subsequent significant equity financing that includes a sophisticated, unrelated new investor. An investment may be valued at less than cost if the investee shows a significant fundamental deterioration in financial position or operating results or has defaulted under the terms of its agreement with the Partnership.

Use of estimates in preparing financial statements

The preparation of financial statements in conformity with accounting practices prescribed by the SBA requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

Concentration of credit risk

The Partnership maintains its cash and cash equivalents at one financial institution. The balances are insured by the Federal Deposit Insurance Corporation ("FDIC") up to $250,000. As of March 31, 2017, there were no funds in excess of the insured limit at one financial institution.

Cash and cash equivalents

The Partnership considers highly liquid investments with maturities of three months or less when purchased to be cash equivalents. As of March 31, 2017, the Company had no cash equivalents.

Partners' capital - distributions and allocation of gain and loss

Capital contributions are credited to the partners' capital accounts when received by the Partnership. Capital distributions are debited to the partners' capital accounts when paid. Income and losses are allocated to the partners' accounts in accordance with the Agreement as described below.

Distributions to partners are generally made (i) first, to the partners in proportion to their respective capital contributions until they have received distributions equal to their capital contributions with respect to all realized investments and the pro rata expenses of the Partnership with respect to all realized investments; (ii) second, to the partners until they have received distributions equal to and in proportion to the outstanding unpaid preferred return of 8% per annum, compounded annually on unreturned capital contributions of each partner, and (iii) thereafter 90% to the partners in proportion to their respective capital contributions and 10% to the General Partner.

Net profits and net losses of the Partnership will be allocated to the Partners' respective capital accounts in a manner consistent with distributions.

Revenue recognition

Interest income will be recorded on the accrual basis. Accrual of interest will cease when, in the judgment of management, the collectability of such income is doubtful. A reserve for loss is established to the extent there is doubt as to the collection of the amounts previously accrued. Dividend income is recognized on the ex-dividend date.

Amounts reported as realized gains or losses on investments will be measured by the difference between the net proceeds of sale or write-off and the cost basis of the investment on the specific identification method, without regard to unrealized gains and losses. The cost of securities that have, in the General Partner's judgment, become worthless, are written off and reported as realized losses.

Unrealized appreciation of investments

Unrealized gains (losses) on securities held results from the valuation of investments by the General Partner. Unrealized appreciation will be recognized for valuations above cost and unrealized depreciation is recognized for valuations below cost. Unrealized gains or losses are the aggregate amounts obtained by summing the unrealized appreciation or depreciation of all investments, net of any estimated future income tax effects. Such changes are recorded directly in the partners' capital account, unrealized appreciation of investments, in the Statement of Financial Position.

Income taxes

The Partnership, with the consent of its partners, has elected to be taxed under sections of the federal and state income tax law as a Partnership. As a result of this election, no income taxes are paid by the Partnership. Instead, the Partners separately pay tax on their pro rata allocation of the Partnership's income, deductions, losses and credits. The federal and state income tax returns are subject to examination by taxing authorities, generally for three years after they are filed.

2. Notes Payable:

The Partnership has a revolving credit agreement with a bank, under which the Partnership can borrow up to $2,000,000. All borrowings under this agreement bear interest at 3.75% annually. The agreement expires March 2, 2018. As of March 31, 2017, the Partnership did not have an outstanding balance under this agreement.

3. Related Party Transactions:

The General Partner has contracted with AAVIN Equity Advisors, LLC ("AAVIN") to manage the Partnership's activities. Under the terms of the management agreement ("Management Agreement"), AAVIN provides essentially all of the management and administrative services required by the Partnership. The Management Agreement expires upon termination of the Partnership. The Partnership will pay an annual management fee computed on a daily basis equal to 2% of the management fee base. Management fee base is the aggregate commitments of the limited partner during the management fee period and after the management fee period the management fee base is the cost basis of the Partnership's portfolio securities in active portfolio companies. The management fee period commences on the commencement date and ends on the earlier of six years after the commencement date or the initial closing of a successor fund.

To the extent AAVIN receives any financing fees, management fees, director and/or transaction fees from a Portfolio Company (other than investment banking fees), all such fees shall reduce management compensation. Closing and management fees of $40,688 were generated in the three months ended March 31, 2017.

Year to date management compensation totaled $85,229 and management fees of $15,404 were waived to satisfy the General Partner 1% capital contribution. Management fees payable as of March 31, 2017, totaled $68,458.